

bonus (if it worked as a half-staff pattern and we know it only does less than half the time).

Suppose you saw the pennant form and watched price break out upward. The next day, you would buy at the market open, filled at 12.53, which was also the intraday low.

Price rises toward the measure rule target of 14.63 (see the measure rule explanation in Trading Tactics for the numbers). Stay in the trade as price makes higher highs. You can place an order to sell near or at the target so the market will take you out automatically. That order usually results in selling near a minor high and gives you a higher profit than trying to time it yourself.

In this case, since price was trending up, stay in the trade. When price closed lower and made a lower high, that was the sell signal. Sell at the market open the next day, 14.69, which just happened to be the intraday low. That strategy would give you a profit of 17% in just 4 days for this trade.

After completing the throwback (where price returned to the pennant), the stock continued higher, reaching a high of 44.56 in mid-September 2000 (not shown) for a rise of over 400% above the base top.

Clearly, not all trades work out as well as this one. The key is getting into the trade at a low price and exiting in a timely manner (near the top). A delay of just a few days and you would be selling into the downdraft as price tumbled back toward the pennant.